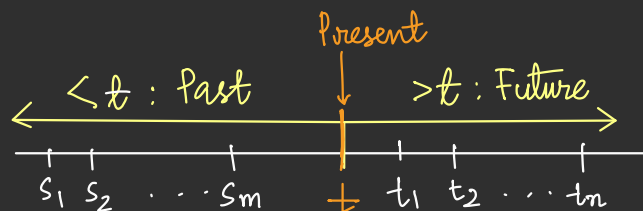


RECAP : 1) The Markov Property:For an RP $\{X_t : t \in T\}$ on $(\Omega, \mathcal{F}, P)$,

$$\{X_{s_1}, X_{s_2}, \dots, X_{s_m}\} \perp\!\!\!\perp \{X_{t_1}, X_{t_2}, \dots, X_{t_n}\} \mid X_t, \text{ where}$$

$$s_1 < s_2 < \dots < s_m < t < t_1 < t_2 < \dots < t_n$$

Given the present, the future is independent of the past!



2) Discrete time Markov Chain

- $\{X_n, n \in \mathbb{N}\}$, with X_n taking values in a countable set S (State space)s.t. $\{X_n, n \in \mathbb{N}\}$ has the Markov property- Transition Probability matrix $P(n) = |S| \times |S|$ matrix with the $(i, j)^{\text{th}}$ entry

$$P_{ij}^{(n)} = P\{X_{n+1} = j \mid X_n = i\}, n \in \mathbb{N}, i, j \in S. \text{ (Row-Stochastic Matrix)}$$

- Time homogeneous DTMC $P(n) = P \quad \forall n \in \mathbb{N}$ - n -step transition probabilities $P\{X_{n+1} = j \mid X_1 = i\}$.

PLAN: 1) Chapman-Kolmogorov Eqn - continued

2) Stopping time & Strong Markov Property

3) Hitting & Recurrence Times & 4) Applications

Chapman - Kolmogorov Equation

Theorem (Chapman - Kolmogorov): For a time-homogeneous DTMC $\{X_n : n \in \mathbb{N}\}$ with state space S , for any $n \in \mathbb{N}$, let $P_{ij}^{(n)} = P\{X_{n+1} = j \mid X_1 = i\}$, $i, j \in S$. Let $P^{(n)} = [P_{ij}^{(n)}]_{i,j \in S}$. Then, $P^{(n)} = P^n \quad \forall n \in \mathbb{N}$, where $P = P^{(1)}$ is the one-step TPM of $\{X_n, n \in \mathbb{N}\}$

Proof: For $i, j \in S$ and $n, l \geq 0$

$$\begin{aligned}
 p_{i,j}^{(n+l)} &= P\{X_{n+l+1} = j \mid X_1 = i\} \\
 &= \sum_{k \in S} P\{X_{n+1} = k \mid X_1 = i\} \cdot P\{X_{n+l+1} = j \mid X_1 = i, X_{n+1} = k\} \\
 &= \sum_{k \in S} P\{X_{n+1} = k \mid X_1 = i\} P\{X_{n+l+1} = j \mid X_{n+1} = k\} \\
 &= \sum_{k \in S} p_{i,k}^{(n)} \cdot p_{k,j}^{(l)} \qquad \qquad \qquad p^{(n)} \text{ } i\text{th row} * p^{(l)} \text{ } j\text{th coln.} \\
 &= \left[p^{(n)} \cdot p^{(l)} \right]_{i,j}
 \end{aligned}$$

$$p^{(n+l)} = p^{(n)} \cdot p^{(l)}.$$

Use this inductively to get the desired result.

Theorem (Chapman-Kolmogorov II)

Let $\{X_n: n \in \mathbb{N}\}$ be a TH-DTMC on the state space S with TPM P .
For each $n \in \mathbb{N}$, let $\pi(n)$ denote the unconditional PMF of X_n .

$$\boxed{\pi(n+1) = \pi(n) \cdot P} \quad \forall n \in \mathbb{N} \quad S = \{1, 2, \dots, |S|\}$$

$$\begin{aligned}
 &\left[\pi_1(n) \quad \pi_2(n) \quad \dots \quad \pi_{|S|}(n) \right] \begin{bmatrix} p_{1,1} \\ p_{2,1} \\ \vdots \\ p_{|S|,1} \end{bmatrix} \\
 &\quad \quad \quad \rightarrow \quad \pi_1(n) p_{1,1} + \pi_2(n) p_{2,1} + \dots + \pi_{|S|}(n) p_{|S|,1} \\
 &\quad \quad \quad \nearrow \quad \quad \quad \nearrow \quad \quad \quad \nearrow \quad \quad \quad \nearrow \\
 &P(X_n=1) \quad P(X_{n+1}=1 \mid X_n=1) \quad \quad \quad P(X_n=2) \quad P(X_{n+1}=1 \mid X_n=2)
 \end{aligned}$$

$$\leq P(X_n = i) \cdot P(X_{n+1} = 1 | X_n = i) = P(X_{n+1} = 1)$$

$$\{X_n\}_{n \in \mathbb{N}}$$

$$\pi(2) = \pi(1) \cdot P$$

$$\pi(3) = \pi(1) P^2$$

$$\vdots$$

$$\pi(n) = \pi(1) \cdot P^{n-1}$$

Finite Dimensional Distributions

FDDs of a TH-DTMC $\{X_n, n \in \mathbb{N}\}$ on the state space S .

$$P(X_{n_1} = i_1, X_{n_2} = i_2, \dots, X_{n_m} = i_m) = \sum_{i \in S} P(X_1 = i, X_{n_1} = i_1, \dots, X_{n_m} = i_m)$$

$$1 \leq n_1 < n_2 < \dots < n_m$$

$$= \sum_{i \in S} P(X_1 = i) \cdot P(X_{n_1} = i_1 | X_1 = i) P(X_{n_2} = i_2 | X_{n_1} = i_1) \dots P(X_{n_m} = i_m | X_{n_{m-1}} = i_{m-1})$$

$$= \sum_{i \in S} \pi_i(1) P_{i, i_1}^{(n_1-1)} P_{i_1, i_2}^{(n_2-n_1)} \dots P_{i_{m-1}, i_m}^{(n_m-n_{m-1})}$$

FDDs are completely specified using the TPM P and the initial PMF $\pi(1)$.

$$P(X_{n_1} = i_1, \dots, X_{n_m} = i_m) = \underbrace{P(X_{n_1} = i_1)}_{P_{i, i_1}^{n_1-1}} \cdot \underbrace{P(X_{n_2} = i_2 | X_{n_1} = i_1)}_{P_{i_1, i_2}^{n_2-n_1}} \dots \underbrace{P(X_{n_m} = i_m | X_{n_{m-1}} = i_{m-1})}_{P_{i_{m-1}, i_m}^{n_m-n_{m-1}}}$$

$$\pi(n_1) = \frac{\left[\pi(1) \cdot P^{n_1-1} \right]_{i_1}}{\sum_{i \in S} \pi_i(1) P_{i, i_1}^{n_1-1}}$$

$$\left[\begin{array}{c} \longrightarrow \\ \downarrow \end{array} \right]$$

$$P(X_1=i_1, \dots, X_n=i_n) \stackrel{?}{=} P(X_{m+1}=i_1, \dots, X_{m+n}=i_n) \text{ for any } m \in \mathbb{N}.$$

TH-DTMC with TPM P on state space S .

$$\underbrace{\pi_{i_1}(1) P_{i_1, i_2} \cdot P_{i_2, i_3} \cdots P_{i_{n-1}, i_n}}_{\text{LHS}} \quad \underbrace{\pi_{i_1}(m+1) \cdot P_{i_1, i_2} \cdot P_{i_2, i_3} \cdots P_{i_{n-1}, i_n}}_{\substack{\text{RHS} \\ \left[\pi(1) \cdot P^m \right]_{i_1}}}$$

TH-DTMC is not stationary!

$$P\left(\bigcap_{j=2}^n \{X_j = i_j\} \mid \{X_1 = i_1\}\right) = P\left(\bigcap_{j=2}^n \{X_{m+j} = i_j\} \mid \{X_{m+1} = i_1\}\right)$$

$$\text{LHS} = P_{i_1, i_2} \cdot P_{i_2, i_3} \cdots P_{i_{n-1}, i_n} = P_{i_1, i_2} P_{i_2, i_3} \cdots P_{i_{n-1}, i_n}$$

Conditioned on the initial state, any finite dimensional joint PMF of a TH-DTMC $\{X_n, n \in \mathbb{N}\}$ is stationary; i.e. $\forall m, n \in \mathbb{N}$ and $i_1, i_2, \dots, i_n \in S$

$$P\left(\bigcap_{j=2}^n \{X_j = i_j\} \mid \{X_1 = i_1\}\right) = P\left(\bigcap_{j=2}^n \{X_{m+j} = i_j\} \mid \{X_{m+1} = i_1\}\right)$$

In particular for a TH-DTMC $P\{X_{k+1}=j \mid X_1=i\} = P\{X_{k+m}=j \mid X_m=i\}$
 (k -step transition probabilities) $\forall i, j \in S, k, m \in \mathbb{N}$.

Strong Markov Property:

Example: Fix a prob. space $(\Omega, \mathcal{F}, P)$. Consider a TH-DTMC $\{X_n: n \in \mathbb{N}\}$ on the state space S . For $j \in S$, let T_j be the random time when the process first visits the state j , i.e. $T_j(\omega) = k$ if $X_i(\omega) \neq j \quad \forall 1 \leq i \leq k-1$ and $X_k(\omega) = j$. If for some $\omega \in \Omega$, $\nexists k$ s.t. $T_j(\omega) = k$, then $T_j(\omega) = \infty$. Is T_j a RV? Is $P(X_{T+k}=j \mid X_1=i_1, \dots, X_T=i) = P_{i,j}^{(k)}$?

$$\left\{ \omega \in \Omega : T_j(\omega) = k \right\} = \left\{ \omega \in \Omega : X_i(\omega) \neq j \quad \forall 1 \leq i \leq k-1, \right. \\ \left. X_k(\omega) = j \right\}$$

Is $P(X_{T+k} = j | X_1 = i_1, \dots, X_T = i) = p_{i,j}^{(k)}$? Prove!

$$P(X_{T+k} = j | X_1 = i_1, \dots, X_T = i) = \sum_{t=1}^{\infty} \frac{P(X_{T+k} = j | X_1 = i_1, \dots, X_T = i, T=t)}{P(T=t | X_1 = i_1, \dots, X_T = i)}$$

$$= \sum_{t=1}^{\infty} \underbrace{P(X_{t+k} = j | X_1 = i_1, \dots, X_t = i)}_{\text{Markov Property}} P(T=t)$$

Example: TH-DTMC $\{X_n, n \in \mathbb{N}\}$ on the state space S with TPM P .

$U^{(j)}$ - time of first return to state j . (time of second visit to j)

Let $T = U^{(j)} - 1$ (one step before the second visit to state j).

$$P(X_{T+1} = k | X_1 = i_1, \dots, X_T = i) = \begin{cases} 1 & \text{if } k = j \\ 0 & \text{otherwise} \end{cases}$$

$$P(X_{T+1} = k | X_1 = i_1, \dots, X_T = i) = P\{X_{T+1} = k | X_T = i\}$$

i.e. $X_{T+1} \perp X_0, \dots, X_{T-1} \mid X_T$ (Markov Property)

Is $P\{X_{T+1} = k | X_T = i\} = p_{i,k}$? No!

Stopping Time: A random time T is a stopping time for the random process $\{X_n, n \in \mathbb{N}\}$ on the state space S , if $\forall n \in \mathbb{N}$, $\exists$ a function $f_n: S^n \rightarrow \{0,1\}$ s.t. $I_{\{T \leq n\}}(\omega) = f_n(X_1(\omega), \dots, X_n(\omega))$, i.e. to answer the question whether $T(\omega) \leq n$ or not we only need to look at $X_1(\omega), \dots, X_n(\omega)$

For a TH-DTMC, the question of whether Markov property holds w.r.t a random time T is about

i) whether the RVs are Markovian or not.

ii) whether the transition probabilities are homogeneous & governed by the entries in the TPM P .

$$\text{Is } \mathbb{P}\{X_{T+k}=j \mid X_1=i_1, \dots, X_T=i\} = \mathbb{P}\{X_{T+k}=j \mid X_T=i\} = (P^k)_{i,j}?$$

Theorem: Fix a prob. space $(\Omega, \mathcal{F}, P)$. Let $\{X_n, n \in \mathbb{N}\}$ be a TH-DTMC on state space S & let T be a stopping time s.t. $\mathbb{P}\{T < \infty\} = 1$. Then the DTMC has the **strong Markov property** w.r.t T , i.e.,

$$\mathbb{P}\{X_{T+k}=j \mid X_1=i_1, X_2=i_2, \dots, X_T=i\} = (P^k)_{i,j}$$

$$\begin{aligned} \text{Proof: } \mathbb{P}(X_1=i_1, X_T=i, X_{T+k}=j) &= \sum_{t=1}^{\infty} \mathbb{P}(X_1=i_1, \dots, X_t=i, X_{T+k}=j, T=t) \\ &= \sum_{t=1}^{\infty} \mathbb{P}(X_1=i_1, \dots, X_t=i) \mathbb{P}(X_{t+k}=j \mid X_1=i_1, \dots, X_t=i) \mathbb{P}(T=t \mid X_1=i_1, \dots, X_{t+k}=j) \\ &= \sum_{t=1}^{\infty} \underbrace{\mathbb{P}(X_1=i_1, \dots, X_t=i)}_{\substack{\uparrow \\ \text{fixed time, not random}}} \cdot \underbrace{\mathbb{P}(X_{t+k}=j \mid X_t=i)}_{\substack{\uparrow \\ \text{fixed time, not random}}} \cdot \underbrace{\mathbb{P}(T=t \mid X_1=i_1, \dots, X_t=i)}_{\substack{\uparrow \\ \text{fixed time, not random}}} \\ &= P^k_{i,j} \sum_{t=1}^{\infty} \mathbb{P}(X_1=i_1, \dots, X_t=i, T=t) \\ &= P^k_{i,j} \underbrace{\mathbb{P}(X_1=i_1, \dots, X_T=i)}_{\substack{\uparrow \\ \geq 0}} \\ &\mathbb{P}(X_{T+k}=j \mid X_1=i_1, \dots, X_T=i) = (P^k)_{i,j} \end{aligned}$$